

DEBT & EQUITY

Macklowe's \$14M Win Shows Time Is a Cost of Capital, Not Just a Clock

BankUnited's appeal reveals how loan documentation quality becomes leverage when time runs against the lender.

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A source-grounded Light Tower Insight.

BankUnited is appealing a \$14.2 million loan dispute with Harry Macklowe, but the more revealing number is not the principal. It is the timeline. The loan was issued in December 2013. The lease that serviced it expired in January 2022. The default came two months later. The trial ended in April 2026. That is twelve and a half years from origination to judgment, and the lender still does not have its money.

The dispute is not really about whether Macklowe owes the money. It is about whether the lender can prove the guaranty was enforceable when the underlying documents were, in the judge's words, incoherent. BankUnited lost at trial because the guaranty did not clearly state how much Macklowe had to pay or when. The bank is now asking the Appellate Division to reverse that ruling.

For capital markets readers, the case is a reminder that time is not just a duration. It is a cost of capital that compounds when documentation is sloppy, when the borrower has resources to litigate, and when the lender's internal underwriting notes were never shared with the other side.

The facts are straightforward. In December 2013, BankUnited made a development loan to Macklowe's entity, Gray-Line Development. The loan was serviced by rent from a Walgreens lease at 310 East 53 Street, a lease Macklowe had signed in 2006 for 99 years. The lease expired in January 2022. Walgreens did not extend. By March 2022, Macklowe had defaulted. Between origination and default, he had paid down just over a quarter of the original loan, leaving a \$10.5 million principal balance. BankUnited sued in November 2022 for nearly \$12 million in unpaid principal, interest, and fees.

The lender won an early partial victory in November 2024, when a judge ordered Macklowe to keep making monthly payments of \$67,000 until he found a new tenant. The space has remained vacant. In September 2025, BankUnited pushed for a bench trial, arguing that if the property could not generate income, Macklowe had to personally cover the shortfall. The trial

ended in April 2026 with a ruling for Macklowe. The judge found that the guaranty did not clearly set forth the most basic terms: how much Macklowe must pay and when. Internal notes BankUnited presented as evidence had never been shared with Macklowe or his team during negotiations. The judge also noted that BankUnited had tried to get Macklowe to retroactively agree to their interpretation after realizing the documents were missing material terms. Macklowe refused.

The appeal, formalized on June 24, 2026, with the Appellate Division, First Department, sets the stage for another round. The space at 310 East 53 Street remains vacant. The loan is still unpaid. The clock keeps running.

What this reveals about capital, risk, and leverage is worth unpacking. First, the case shows that loan documentation quality is not a back-office concern. It is a first-order risk factor. When a lender cannot prove the basic terms of a guaranty, the borrower gains leverage that has nothing to do with the asset's cash flow. Macklowe is not arguing that the property is worth less. He is arguing that the contract does not bind him. That is a structural defense, not a valuation one.

Second, the case illustrates how time changes the bargaining power of each party. At origination, the lender had the leverage: it controlled the capital. At default, the lender still had leverage: it could demand payment, accelerate the loan, and sue. But as the litigation stretched from 2022 to 2026, the lender's leverage eroded. The borrower did not need to win the case. He only needed to make it expensive and uncertain enough that the lender would consider settling. The longer the case goes, the more the lender's legal costs accumulate, and the less likely it is to recover the full amount.

Third, the case highlights the importance of the lease structure. Macklowe signed a 99-year lease in 2006. That is an extraordinarily long term, and it suggests that the lease was effectively a financing vehicle, not a traditional retail lease. When the lease expired in 2022, the income stream that had serviced the loan disappeared. The lender had underwritten the loan based on that income, but the lease had a finite term. The lender did not have a backup

Fourth, the case shows that personal guaranties are only as strong as the documentation supporting them. A guaranty that does not specify the amount or timing of payment is not a guaranty. It is a promise without a price. Lenders who rely on personal guaranties need to ensure that the documents are clear, complete, and signed. Otherwise, they are buying a litigation risk, not a credit enhancement.

For market participants, the implications are practical. Owners with maturing loans should review their guaranty documents now, not when the default notice arrives. Lenders should audit their loan files for missing or ambiguous guaranty terms before the next cycle of distress. Investors in distressed debt should factor in the cost and duration of litigation when pricing a loan. A \$10.5 million principal balance may look attractive at a discount, but if the borrower can tie up the lender in court for four years, the discount may not be enough.

The case also raises a question that the source does not answer: what is the property worth today? The space at 310 East 53 Street has been vacant since early 2022. Midtown East office and retail demand has been uneven. If the property cannot generate enough income to service the loan, the lender's recovery depends entirely on the guaranty. And if the guaranty is unenforceable, the lender may have to write down the loan or sell it at a steep discount.

BankUnited is not backing down. The appeal means the lender believes it can win on the law, even if it lost on the facts at trial. But the appeal also means more time, more legal fees, and more uncertainty. The borrower, meanwhile, has already won once. He has no incentive to settle unless the lender offers terms that make the litigation risk worth ending.

The case is not a systemic threat. It is a single loan dispute involving a single borrower and a single lender. But it is a useful reminder that in commercial real estate, time is a cost of capital that compounds in ways that are not always visible on the balance sheet. The lender that wins at trial may still lose economically if the recovery takes too long. The borrower that loses at trial may still win if the documents are weak enough.

The next phase of the market will not be defined by who owns the best story. It will be defined by who controls the cheapest capital and the cleanest documents.